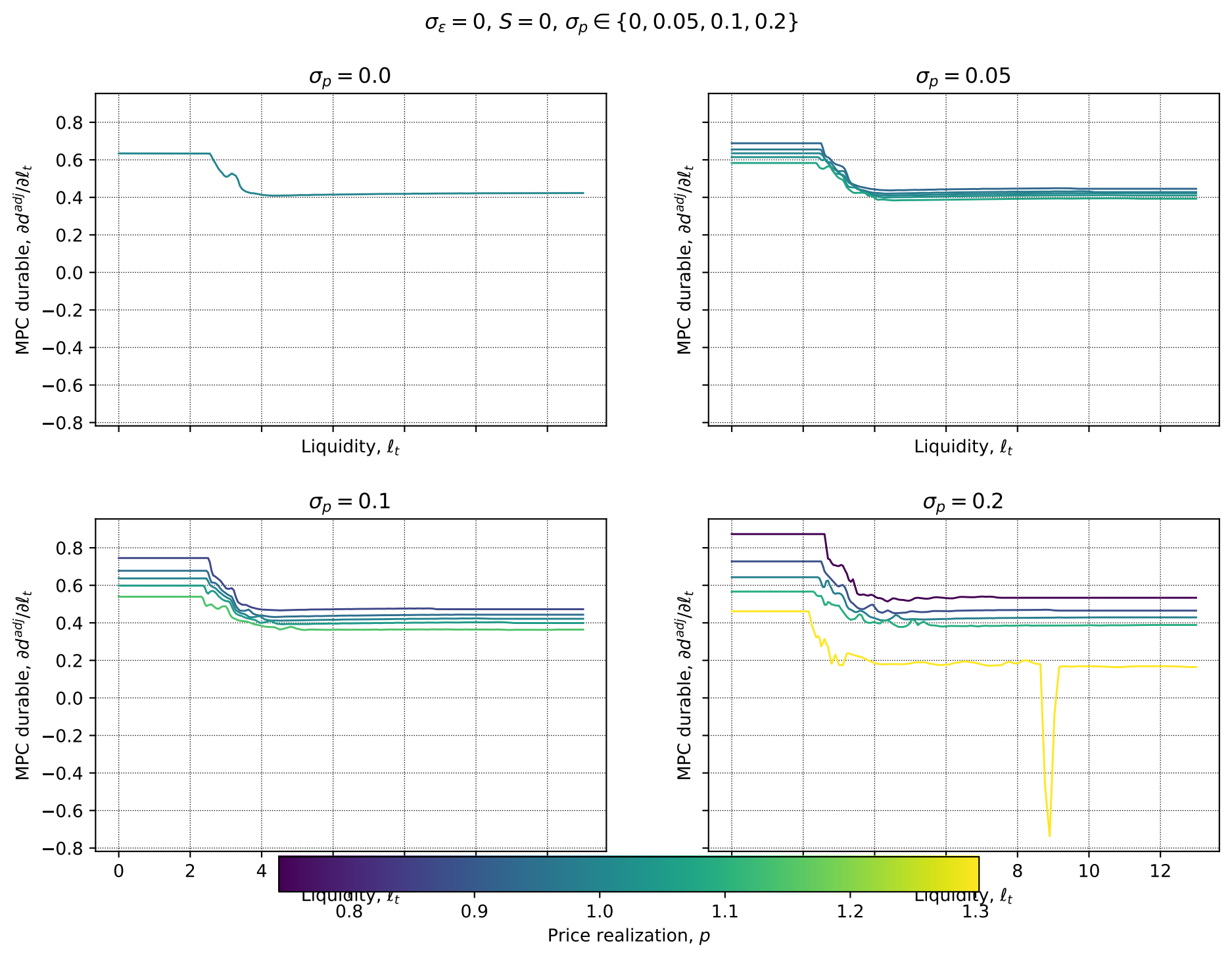
$\sigma_\varepsilon = 0$, $S = 0$, $\sigma_p \in \{0, 0.05, 0.1, 0.2\}$
$\sigma_p = 0.0$
$\sigma_p = 0.05$
$\sigma_p = 0.1$
$\sigma_p = 0.2$
MPC durable, $\partial d^{adj}/\partial \ell_t$
Liquidity, ℓ_t
Price realization, p
0.8
0.6
0.4
0.2
0.0
−0.2
−0.4
−0.6
−0.8
0
2
4
8
10
12
0.8
0.9
1.0
1.1
1.2
1.3